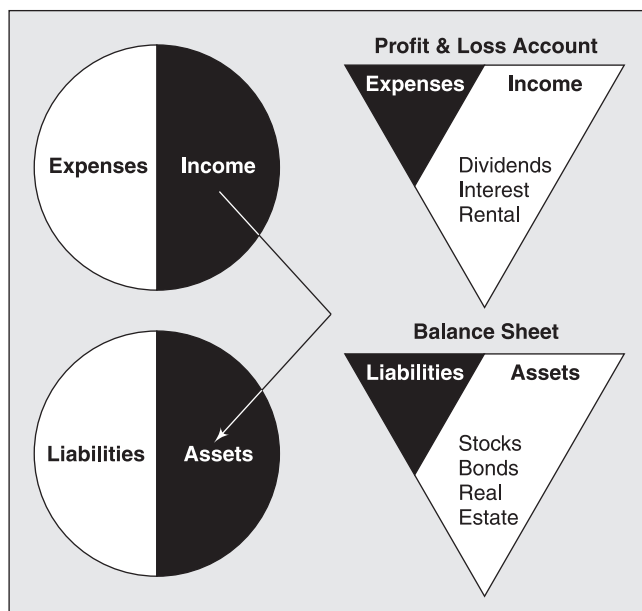




FIGURE 11.5



➤ Cash Flow Pattern of the Rich

The balance sheet of the rich consists of assets like stocks, bonds, real estate, etc. Their income derives mainly from dividends, interest, rentals, etc. They make their money work for them and they do not create liabilities. Thus their expenses are under control. Any one can do what the rich do. Firstly it requires discipline to stay the course and avoid instant gratification of desires. Secondly it requires an understanding of the basic principles of assets and liabilities. It's easy to become financially literate if you have the patience.

Some say that money begets money. However many people like film stars, athletes, celebrities who made a lot of money in their heyday have lost all of it in a few years. If money begets money these people should have stayed rich. They lost only because they were not financially literate. They did not know how to harness the power of money. To become rich you must